- It facilitates small (micro) and frequent payments between sender(s) and receiver(s).
- Payment values are less than the transaction fees charged on transactions on the main channel. (This characteristic is understandable.)
- The relationship between sender and receiver is temporary, typically terminated after payment is settled and synchronized with the main channel.

Figure 7.4 shows these concepts and the relationship between the on-chain main channel and off-chain side channel between two accounts. Anybody can join and leave the main channel, and any account can transact with any other account. Every transaction on the main channel is recorded on the blockchain. The main channel is permanent, as in Bitcoin’s and Ethereum’s main chains.

Now look at the side channel in figure 7.4. The micropayment channel is an example of a side channel between selected accounts--in this case, between two accounts--and is temporary. The transactions between the side channel accounts are off-chain and not recorded on the chain until the side channel synchronizes with the main channel. This synchronization happens when one of the participating accounts sends a transaction on the main channel, capturing and summarizing the details of the off-chain transactions. The side channel may be dissolved after synchronization with the main channel. The micropayment channel concept is discussed in the Solidity documentation and in many online publications.